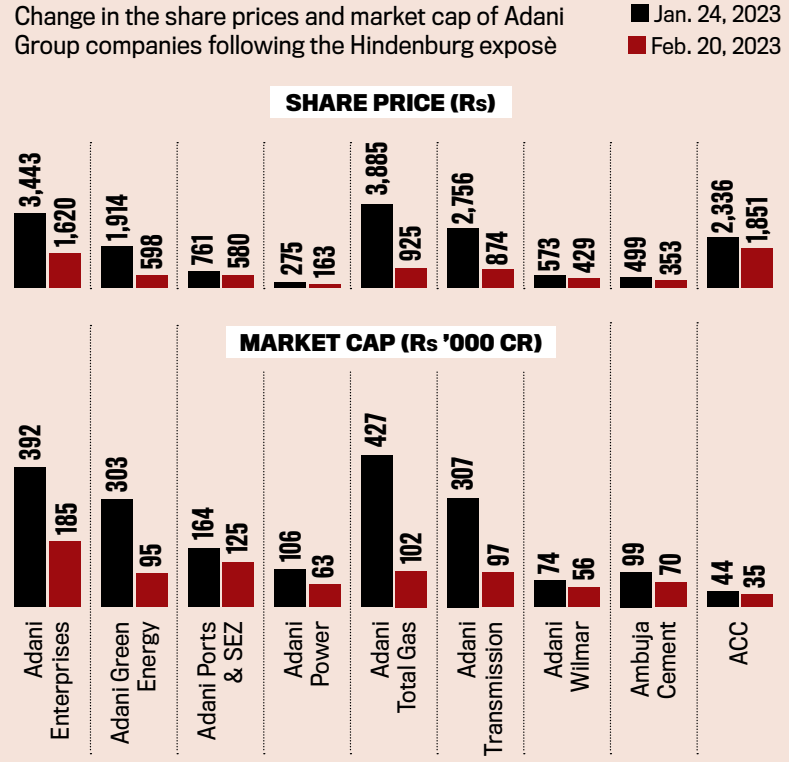
so? For one, investors see Adani's problems as restricted to the group alone, with no ramifications for the wider corporate world. Moreover, as more facts emerge on the fundamentals of the conglomerate, including its large asset base and reduced exposure to Indian banks compared to a few years ago, large institutional investors are feeling more reassured. The macroeconomic fundamentals of the country remain strong as well. Although the threat of inflation has not receded entirely, the Reserve Bank of India (RBI) has succeeded in keeping it closer to the upper range of 6 per cent. India's growth rate, estimated at 7 per cent for 2022-23, is seen as better than most large countries across the world, and the economy seems resilient. The recent Economic Survey has estimated growth to be at 6.5 per cent in 2023-24.

## THE ADANI ROUT MAP

Change in the share prices and market cap of Adani Group companies following the Hindenburg exposè




Source: BSE

Another reason is the low weightage of the Adani stocks on the overall indices. "The market cap of the nine listed Adani group companies is not even one per cent in the market cap of the benchmark indices—the Nifty or the Sensex," says Arun Kejriwal, founder, Kejriwal Research & Investment Services. "There is one company with a large market cap—that is Adani Enterprises. But we should discount the fall in value of Adani Enterprises simply because that is a closely held company. Promoters and family own almost 72.6 per cent in the company. So, there is no question of a large number of retail investors being affected by the fall." Besides Adani Enterprises, four other firms—Adani Transmission, Adani Total Gas, Adani Green Energy and Adani Power—have lost significant value in m-cap since January 24. Promoters hold 75 per cent and 74.2 per cent, respectively, in Adani Power and Adani Transmission. APSEZ, on the other hand, is widely held by investors, with family ownership at 65 per cent. "APSEZ's shares have found their own level," says Kejriwal. "The two cement companies were recently acquired (from Swiss firm Holcim) and are still trading a shade higher than the price they were acquired for. Meanwhile, Adani Wilmar's price has fallen, but it is freely trading. Adani Power, too, has significant retail investors." Individual investors held Rs 54,066 crore in the listed Adani group firms (including NDTV, which it acquired last year) on January 24, say media reports. Retail investors were the highest in Adani Power, at 5.7 per cent in December-end.



**"THE STOCK MARKET IS SUPPORTED BY THE POSITIVE SENTIMENT AROUND INDIA'S GROWTH STORY"**

**NILESH SHAH**
*MD, Kotak Mahindra Asset Management Co.*

Other experts, too, point to the low retail shareholding in group companies. "There is hardly any public holding of shares in the Adani listed firms, and that was an allegation raised by Hindenburg," says the head of a leading mutual fund. "If the Hindenburg report is right, all the gains in the past on the stock market have gone to Adani, and all the losses too have been suffered by him." The impact of the crash in Adani stocks has therefore been minimal on retail investors.

However, when there are convulsions in a large and highly diversified industrial group with nine listed companies, don't the tremors go down the bourses? After all, the Adani group is India's largest airport